

Elements of a Michigan Deed

As required by the Statute of Frauds, every deed must be in writing. Oral conveyances of real property aren't recognized by law. It's a good thing, too. Can you imagine if someone blurted out, "I'd trade my house for a gin and tonic," and courts found that valid? Not pretty.

Besides the fact that it must be in writing, a deed in Michigan must also include the following elements and conventions:

- Grantor name
- Execution by a competent grantor (usually the property seller), who's at least 18 years of age (yes, a minor can transfer real property, but these transfers are voidable by the minor)
- Grantee name (usually the buyer, but in any case, the new owner) and address
- Preparation in writing by an attorney or by one of the parties
- A legal property description that's accurate and leaves no room for interpretation (for instance, 123 Elm Street would not work). Any of these three methods leads to an acceptable legal description:
 1. Metes and bounds
 2. Reference to plat, lot, and block
 3. The rectangular survey method, also called government survey
- The actual consideration (the compensation given for the property transfer) or an accompanying affidavit that states the actual amount
- Granting clause, also called an act of conveyance (e.g., "hereby conveys ...")
- Any deed exceptions
- Delivery and acceptance of the deed (acceptance by the grantee is assumed)
- Special local documentation requirements applicable by county (check with local county for details)

Now, let's discuss some of the deed elements in a bit more detail.

Grantor/Grantee

The **grantor** is the person conveying the title. In a typical real estate transaction, this is the seller, who conveys the property title to the buyer. For the conveyance to be legal, the grantor must be of legal capacity. That is, mentally competent and-unless you want to risk issues later down the road-at least 18 years old. The grantor is also required to be specifically named and positively identified.

The **grantee** is the person receiving title. In a typical real estate transaction, this is the buyer, who receives the property title from the seller.

In a deed, the grantor is often referred to as the "party of the first part," and the grantee is referred to as the "party of the second part." The deed must include the addresses of the grantor and grantee.

Granting Clause, or Act of Conveyance

This clause is pretty central to all deeds involving property exchanges, and a deed isn't valid without it. It lists the grantee and the grantor, and also states that the property is being transferred from one to the other. It usually contains the phrase "hereby conveys," such as "Letitia Howe, grantor, hereby conveys the property at 123 Main Street to Harvey Stillman, grantee."

Signature of the Grantor

To execute a deed, the grantor conveying the interest to the property must sign it. The grantee's signature is not required unless the grantee is assuming a mortgage or other obligations. For instance, when Rita, the grantee, signs a deed for a condominium, she's agreeing to take on the mortgage she applied for, as well as the rules and regulations of the condo complex.

In Michigan, a deed signed only by the grantor is effective, provided that it's delivered to the grantee and the grantee accepts it. However, both the grantee and grantor must sign in the following cases:

- The property belongs to a minor
- The transfer of property involves a corporate buyer or seller

Acknowledgment and Recording

Each deed is considered "done"-or "made"-on the date it's signed, sealed, and delivered. Then the deed can be acknowledged and recorded.

Deeds can't be recorded unless they are legal and acknowledged. Acknowledgment is an oath in front of a subscribing witness, such as a notary public. The grantor must tell the notary that signing the deed is a voluntary act. While the deed is valid between

the parties without an acknowledgment, it has to be acknowledged to be recorded, and recording is vital if the grantee wants to protect the title against future buyers of the same property from the same grantor. Therefore, the grantee should always expect to receive an acknowledged deed.

A deed is typically recorded at the county clerk's office in the county where the property is located. In the event that a piece of land is located in two or more counties, the deed must be recorded in each applicable county. The recording of a deed constitutes constructive notice as of the date of recording. **Constructive notice** is a legal term that means people are assumed to have knowledge about something-in this case, the deed-because of the fact that it exists in the public record.

Michigan law states that the following are effective only if the deed is executed and recorded:

- The transfer of a fee or freehold estate
- Any estate for a term of more than seven years (including deeds and leases for more than seven years)

Michigan law requires that valid deeds must be typewritten and in English to be recorded. However, if the deed is in another language and it is accompanied by official consular translation (into English), it is considered to have met this requirement.

Delivery and Acceptance

As is the case with other types of contracts, delivery and acceptance must happen to effect a transfer of title by deed. A deed signed only by the grantor is known as a **deed poll**. It must be delivered to, and accepted by, the grantee for it to be effective. When this happens, the title is transferred from the grantor to the grantee.

Delivery may be made directly to the grantee, or to an agent of the grantee, such as an attorney, real estate broker, or the title company issuing the title. The person receiving title (the grantee) must be legally competent to receive it. Once delivery is made, **acceptance** is presumed. Who wouldn't want to accept real property? The presumption is made stronger upon the recording of the deed.